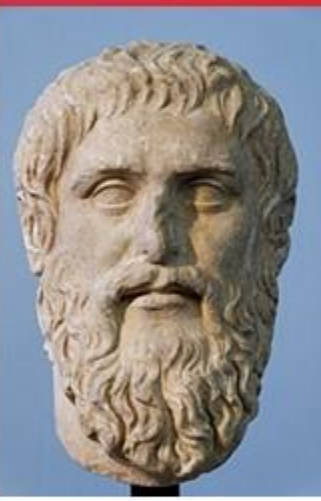
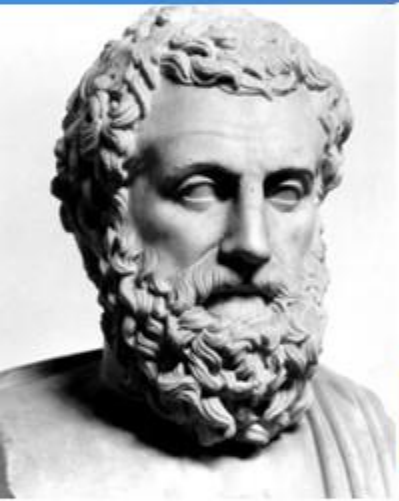


ETHICS, INTEGRITY & APTITUDE



MODULE – 33

CORPORATE GOVERNANCE

- 1 A business corporation is a business organization wherein the **ownership** and **management** are separate.
- 2 In an ordinary business, say, a small scale industry or a jeweller shop, or a TV show room, the owner himself makes **investment** and **carries** on the business.
- 3 However, in the business corporation, the money is mostly raised from **public at large** by issuing shares.
- 4 These **shareholders** are **true owners** of the **business**. However, the business is managed by **different set of people**.

Corporate Governance imply set of all methods and processes that steer a business corporation towards a specific direction in such a way that the interest of all stakeholders in general and shareholders in particular are not compromised by the management.



SHAREHOLDERS

1

- Shareholders are the **real owners** of the business organization.
- They contribute **capital** (=money) to the business.
- But, they **do not carry out** the **operations** of the business.

2

- Operations are carried out by the **management**.
- This management comprises **Board of Directors, CEO and other top managers**.



SHAREHOLDERS

- The management **should not make** any **decision** or **conduct** any **operation** that hurts the **interests of the shareholders**.
- Hurting the interests of shareholders implies the following things:

- 1 Taking such business decisions that give **reduced returns to the shareholders**.
- 2 **Insider trading** – Insider trading refers to trading of **stocks** of a particular **company** by having access to **price-sensitive information**.

- 3 Making such **decisions** that would help only a few **shareholders** much to the detriment of interests of the rest.

- 4 Booking more **personal expenditure** in terms of **perks** so that profits would come down.

- 5 **Doctoring** the **accounts** such that **profits** are hidden

- 6 **Misappropriation of funds** and so on.



GOVERNMENT

➤ The business management should not conduct business in a manner detrimental to the interest of Government. A few such means include:

- Tax evasion
- Flouting ecological norms
- Flouting construction regulatory norms
- Flouting town planning norms
- Flouting fire safety norms
- Flouting labour legislation's norms

➤ Corporate Governance in this regard can be ensured in the following ways:

- Formulation of clear laws after due consultation with concerned business players.
- Laying down stringent punishment attached to their violation
- A strong enforcement mechanism
- Easy law compliance mechanism



CORPORATE GOVERNANCE

PUBLIC

1 Every action of a business affects **society** necessarily because customers for whom a business is run **constitutes** a part of **society**.

2 Also, every business action also has **collateral impact on public** who are not customers also.

3 **Selfish business interest** can harm public interest in the following ways.

- Release of **effluents** into public water bodies
- Release of **polluted exhaust** to atmosphere
- Hoarding of **goods** for creating **artificial demand**.
- Not undertaking any **CSR activity** and so on.

4 Corporate Governance in this regard can be ensured in the following ways:

- Treating the **waste** and **exhaust** before it is **released outside**.
- Reserving a **portion** of **profit** for CSR
- **Non-hoarding** of **essential commodities** and so on.



NEED OF CORPORATE ETHICS

- 1 For the 1st time, the **concept of corporate governance** had become significant after the **crash of stock markets in America in 1929**, which ultimately lead to **great depression of 1930s**.
- 2 It was believed that it was the **greed of corporates** that was responsible for this financial crisis.
- 3 As rightly pointed out by **Mahatma Gandhi**, *Earth has sufficient resources to satisfy the needs of people but not their greed.*
- 4 It is said that markets are **not perfect and can never be perfect also**. Functioning of markets always results in **creation of monopolies and oligopolies**.
- 5 There is **no true capitalism in the world**. What we have is only **Crony capitalism**.



“The Earth provides enough to satisfy every man’s need, but not any man’s greed.”

— Mahatma Gandhi —

NEED OF CORPORATE ETHICS

- 6 Corporate governance again had become significant after the **great recession of 2008**. When stock markets in US collapsed again due to **unethical business practices**.
- 7 In **Capitalism**, objective of **profit maximization** dominates everything else. **Unethical means** are justified in the name of profit maximization.
- 8 In India, the country recognized the importance of corporate governance after it adopted the process of **liberalization**, **Privatization** and **globalization**.
- 9 In 1992, **stock market scam** took place wherein **Harshad Mehta** deceived banks to the loan of **Rs.5000 Crores**. Again in 2000, similar scam was repeated in stock market wherein **Ketan Parekh**, a **stock broker** deceived **public sector banks**.
- 10 In 2010, **Satyam computers** declared **bankruptcy** revealing the ugly side of corporate governance in India.

**UNETHICAL**

NEED OF CORPORATE ETHICS

- 11** Many other scams took place including 2G Spectrum allocation, Coal allocation, CWG scandal and Adarsh scam.
- 12** Very recently ICICI-Videocon scam, PNB scam also revealed the weaknesses in functioning of our corporate and banking system.
- 13** Corporate governance has become necessary in the age of globalization. Most of the MNCs have grown so big that their annual turnovers are more than the GDPs of countries around the world.

- 14** They are accountable to their shareholders directly and they are also morally responsible to the rest of the world.
- 15** If they indulge in unethical practices, it not only destroys their organization but most importantly will have long term adverse consequences for the rest of the globe.



NEED OF CORPORATE ETHICS

16 Deontological ethics emphasise on adopting right kind of means to achieve desired ends.

17 If corporates are influenced by short term abnormal profits and adopt unethical means, it can have long term adverse consequences.

- For example, Lehman brothers, an investment bank collapsed in a short period of time after 2008 financial crisis. It had a long history of 150 years.
- It is the temptation of short term abnormal profits that has forced the bank to adopt these unethical practices.

18 As rightly pointed out by Aristotle, “People become bad because they don’t know the value of good”. Corporates also indulge in unethical practices as they are unaware of the consequences of their actions.

19 Corporate governance includes business ethics and ethics of business. Business ethics or Management ethics only focusses on maximizing profits whereas Ethics of business gives importance to the means or instruments that are selected to maximize profits.



CORPORATE MALPRACTICES

- 1 **Crony capitalism:** Unholy nexus between political executive, bureaucracy and businessman.
- 2 **Insider trading:** Big crime in US, normal in India because of failure of SEBI.
- 3 **Unethical accounting practices** like cash based accounting systems.
- 4 **Monopolies and oligopolies** in the market.
- 5 **Predatory pricing** to prevent entry of new forms into the market.

- 6 **Withholding crucial information** from shareholders.



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CORPORATE MALPRACTICES

7 Deliberate ignorance of negative externalities in the form of **environment degradation** and **pollution** etc.

8 Failure of **independent directors** to perform in an **unbiased manner**.

9 **Unethical auditing** practices by audit agencies.

10 Failure of **regulatory mechanisms** to ensure free and fair functioning of markets.

11 Manipulation of **CSR Funds** by corporates.

12 Ever greening of **patents**.

13 **Tax evasion**.



TOWARDS BETTER CORPORATE GOVERNANCE

- 1 Ensuring effective regulatory mechanisms - Super regulator.
- 2 Ensuring transparency and accountability in Public private partnership projects.
- 3 Ending crony capitalism by ensuring good governance in decision making and implementation process.
- 4 Shift towards accrual based from cash based accounting system.
- 5 Strict punishment for insider trading.
- 6 Protecting rights of shareholders.



TOWARDS BETTER CORPORATE GOVERNANCE

- 7 Making corporate social responsibility (CSR) an integral part of corporate governance. It serves two purposes:

a

ETHICAL

- Corporates earn profit from society. It is moral responsibility to pay back.



Corporate Governance

b

ECONOMIC

- Corporate can earn profits only when there is demand for their productions only when there is income in hands of people – only when they have jobs – Education (Social infrastructure).
- If corporates spend money on social infrastructure as per CSR, we can transform demographic bulge into demographic dividend.

➤ *Example: Companies Act was amended in 2013 to ensure that the corporates donate at least 2% of their profits for CSR activities.*

TOWARDS BETTER CORPORATE GOVERNANCE

- 8 Appointing more women directors to break glass ceiling that exists in corporate functioning.
- 9 Appointing people with credibility as independent directors so that they can function in an unbiased and impartial manner.
- 10 Corporates need to think from long term perspective else may have adverse impact in long term.
- 11 Corporates viability depends on prosperity of society.

Thus, carrying out a business in such a way as not to **compromise** the **interests** of all **stakeholders** in general and **shareholders** in particular is **CORPORATE GOVERNANCE**.



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